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A Project Report on

Fundamental Research of Listed Indian Companies with Focus on

REITs Submitted in partial fulfilment for the award of a degree in Master of Business Administration

MBA - 11 by D L Aakash MBA/2025/11 Under the Guidance of Dr. Molla Ramizur Rahman Assistant Professor to

Indian Institute of Management Bodh Gaya Bihar-824234 INTERNSHIP CERTIFICATE

INDUSTRY MENTOR EVALUATION SHEET

Annexure - II Certificate of authentication by Faculty Mentor

TO WHOMSOEVER IT MAY CONCERN

This is to certify that Mr./Ms. _____ Roll No._____, a student of IIM Bodh Gaya, has undergone _____ weeks of

Internship at _____ from

_____ to _____ under the guidance of

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During the period of internship, his/her performance was: Satisfactory or Not Satisfactory (Please tick either

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Date: Acknowledgement I would like to thank Mr. Shubham Harne, Senior Equity Research Analyst, Purnartha Investment

Advisers Pvt. Ltd. for his valuable guidance, mentorship and continuous encouragement during my

internship. He patiently explained complex concepts like service concession accounting under Ind

AS 115 and the impact of the CAFE norms on the auto ancillary sector, which sharpened my under standing of equity research and financial modelling.His insightful feedback, rigorous review of my financial models, and stimulating debates were vital in shaping my analytical style and making this

internship a truly valuable learning opportunity I also want to thank the Investment Committee Research Team at Purnartha Investment Advisers

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Gaya for his constant guidance, encouragement and valuable support during the internship. His timely advice and academic mentorship have helped me to successfully bridge the theoretical

concepts with practical applications and have given a direction in preparation of this internship report.

Last but not least, I want to thank Indian Institute of Management Bodh Gaya for a rigorous

academic curriculum which provided a strong foundation in finance and analytical thinking which

helped me contribute in my internship and derive meaningful learning from this experience. Executive Summary This report is based on the Summer Internship Project of D.L.Aakash in Purnartha Investment Adv isers Pvt. Ltd. Pune. 13th April 2026 to 23rd June 2026. The intern was placed in the Investment C ommittee (IC) Research Team with Mr. Shubham Harne, Senior Equity Research Analyst. Purnartha is a SEBI-registered Portfolio Management Services (PMS) firm with a bottom-up, research-driven investment philosophy. The IC Research Team produces equity research and financial models to support the Investment Committee in making portfolio decisions. Project Coverage Nature of Work 1. Brookfield India REIT Brookfield India Real Estate Trust Detailed quarterly model, NAV valuation — primary assignment 2. REIT Comparative Analysis Embassy, Mindspace, Nexus, Knowledge Realty Framework extension, comparative KPI analysis 3. IndiGrid InvIT IndiGrid Infrastructure Trust Historical IS rebuild (FY18 onwards), SPV NDCF, forecasting framework 4. Auto and Auto Ancillary Listed ancillary companies CAFE Phase III, E85, EV penetration impact 5. Cement Sector UltraTech, ACC, Ambuja, Dalmia Capacity, cost, demand, competition 6. Retail — Vishal Mega Mart Vishal Mega Mart Business model, SSSG, financial analysis Table 1: Internship Project Summary Tools used: Microsoft Excel (all modelling), Annual Reports, Quarterly Financial Statements, Investor Presentations, Conference Call Transcripts, SEBI Valuation Reports,

NSE/BSE filings and publicly available company disclosures. The Industry Mentor discussions were an important input for calibrating assumptions. The primary analytical engagement was Brookfield India REIT. Full quarterly financial model built with Operating Lease Revenue, CAM Revenue, NOI, EBITDA, Finance costs, PAT, NDCF, DPU and NAV Valuation with Sensitivity Analysis. For IndiGrid, the quarterly P&L was reconstructed from FY2018 onwards, historical SPV level NDCF data was prepared, and a forecasting framework was developed – this was still in progress at the end of the internship. Table of Contents 1. Introduction and Company Profile ..... 8 2. Literature Review ..... 10 3. Methodology ..... 13 4. Analysis and Discussion ..... 16 5. Limitations and Conclusion ..... 30 6. Contributions and Learnings from SIP ..... 32 7. References ..... 35 List of Tables Table 1: Internship Project Summary ..... 6 Table 2: Key Operating KPIs — Brookfield India REIT Model ..... 17 Table 3: Brookfield India REIT — Financial Model Structure ..... 18 Table 4: Forecast Assumptions Framework ..... 20 Table 5: Indian REIT Comparative Framework ..... 22 Table 6: IndiGrid — Asset Categories and Revenue Basis ..... 23 Table 7: BOOT vs BOO vs DBFOT — Key Differences ..... 25 Table 8: NDCF Forecasting Framework — Operating vs Under-Construction 27 Table 9: Auto Ancillary — EV Transition Impact Framework ..... 28 Table 10: Cement Sector — Companies and Parameters Analysed ..... 29 List of Figures Figure 1: IC Research Team Workflow ..... 9 Figure 2: Indian REIT Structure ..... 10 Figure 3: Brookfield Revenue Build-up Framework ..... 19 Figure 4: IndiGrid Trust and SPV Structure ..... 23 Figure 5: IndiGrid NDCF Waterfall ..... 26 1. Introduction and Company Profile 1.1 About Purnartha Investment Advisers Pvt. Ltd. Purnartha Investment Advisers Pvt. Ltd. is a SEBI-registered Portfolio Management Services (PMS) Company based in Pune. The firm manages custom client portfolios with concentrated long-term equity positions, identified

through rigorous bottom-up fundamental research. PMS portfolios are managed separately, unlike a mutual fund, which gives the Investment Committee more flexibility in concentration and conviction-based position sizing. Research quality is the main competitive differentiator. The intern was assigned to the Investment Committee (IC) Research Team, which forms the analytical heart of the firm. The team creates investment ideas, builds financial models, conducts sector research and monitors portfolio companies. Equity Research Intern: Work done was reviewed at every stage by Mr Shubham Harne, Senior Equity Research Analyst. 1.2 IC Research Team Workflow

Step Activity Primary Sources Used 1 Business Understanding Annual Report (full read) — MD&A, Business Overview, Notes to Accounts 2 Management Guidance Conference Call Transcripts (last 4–8 qtrs), Investor Presentations

3 Data Collection Quarterly Results, Annual Reports, NSE/BSE Filings, Valuation Reports

4 KPI Extraction Investor Presentations (supplemental operating data disclosures)

5 Financial Model Build Microsoft Excel — integrated quarterly model

6 Valuation and Sensitivity NAV / DCF / Comps — sensitivity tables across key assumptions

7 Mentor Review and Revision Discussion with Mr Shubham Harne — assumptions challenged and revised

Table 2 (appearing as Figure 1): IC Research Team Workflow

1.3 Overview of REITs and InvITs in India

Real estate investment trusts (REITs) are trust structures that own income-generating real estate

and distribute at least 90% of NDCF to unitholders on a quarterly basis. SEBI had set up the Indian

REIT framework in 2014, and there are five listed REITs. NOI, DPU and NAV per unit are key

performance measures. The key drivers of Office REIT revenue are occupancy, in-place rent, lease

expiry and reversion and the acquisition pipeline.

Figure 2: Indian REIT Structure Infrastructure Investment Trusts (InvITs) own

infrastructure assets through a layered SPV structure and pass through the net distributable cash flow (NDCF) to unitholders. IndiGrid Infrastructure
Trust – India's first power sector InvIT, owns transmission, solar and BESS assets. The crucial
measure is NDCF (not net profit or operating cash flow) because it represents the cash that is
actually available for distribution after operating costs, tax and debt service.

1.4 Objectives and Scope

The main purpose was to build financial models and perform investment analysis for listed REITs and InvITs. Scope covered sector research on Automobiles & Auto Ancillaries, Cement and Retail.

All work was done using only publicly available information and under the guidance of the Industry Mentor.

2. Literature Review This chapter reviews academic and professional literature directly relevant to the projects carried out. The emphasis is on the ideas that shaped the actual analytical work, not on a general survey of the theory of finance. 2.1 REIT Financial Modelling and Revenue Analysis Corgel, McIntosh and Ott (1995) found that in-place rent and occupancy are the two most important drivers of REIT income – a finding that is directly reflected in the bottom-up revenue modelling approach used for Brookfield India REIT. Revenue was based on assumptions about leasable area, occupancy and rent versus a top-line growth rate. Brueggeman and Fisher (2015) define NOI — revenue minus operating expenses, before depreciation and finance costs — as the standard measure of real estate operating performance and the input for NAV valuation using the income capitalisation approach (NOI / capitalisation rate = property value). The timing and magnitude of rent reversion at lease renewal (i.e., lease-level analysis) is found to be a major determinant of REIT revenue growth by Hoesli and Oikarinen (2012). Positive reversion - incremental revenue from renewals when in-place rents are below market. Weighted Average Lease Expiry (WALE) is the amount of near-term revenue subject to reversion risk. Both concepts were key to the Brookfield lease expiry and reversion analysis. SEBI (2014) requires that the property values of REITs be valued semi-annually by registered independent valuers using the income capitalisation approach. The NAV calculation was based on the capitalisation rates derived from these valuation

reports and sensitivity analysis was performed over a range of cap rate scenarios. For REIT investors, the key income return indicator is DPU (not net profit, but derived from NDCF), since non-cash depreciation makes net profit a poor proxy for cash available for distribution (Ernst and Young, 2023). 2.2 InvIT Structure, NDCF, and Valuation According to Singh and Yadav (2021), the Indian InvIT analysis is distinguished by the complexity of the three-tier trust structure (trust – holding company – SPV). Cash generated at the SPV level must be upstreamed to the trust before distribution. NDCF, which is calculated after principal repayments on project debt, is the relevant cash flow for investors, not operating cash flow. This distinction was important for the modelling work in IndiGrid. Indian InvITs' transmission assets generate availability-based revenue through Transmission Service Agreements (TSAs) — revenue is fixed if the line adheres to availability thresholds,
regardless of power flow. According to the Government of India (2017), this structure makes the
transmission revenue more predictable, and the valuation of transmission InvITs is based on long-
duration DCF models with relatively stable cash flow projections.
Under Ind AS 115 (Ministry of Corporate Affairs, 2014), construction revenue is recognised by
infrastructure concession operators during the build phase of a concession asset even in the absence of any cash receipt, as the construction is treated as a service rendered to the granting authority. This
leads to substantial non-cash items on the income statement during periods of heavy construction,
which do not pertain to the actual distributable cash flow. Damodaran (2012) and Koller, Goedhart
and Wessels (2020) point out that DCF analysis should be based on real cash flows rather than
accounting representations. This principle is directly applied in the forecasting approach used in the
IndiGrid NDCF.
The difference between BOOT (Build-Own-Operate-Transfer) and BOO (Build-Own-

Operate) asset structures also affects the terminal value in DCF analysis. At the end of the concession, the

BOOT assets are transferred to the government at zero residual value. Hence, the model needs a zero terminal value. BOO assets are owned by the operator with a perpetuity basis terminal value.

Rosenbaum and Pearl (2013) demonstrate that terminal value assumptions can dominate the DCF results, and therefore, the BOOT/BOO distinction can be material to IndiGrid NAV analysis.

2.3 Financial Modelling and Forecasting

The financial model is an integrated system of interconnected statements where a change in any assumption automatically flows through to all outputs (Pignataro, 2013). In practice, this means

building the income statement, NDCF calculation and valuation as one interconnected structure

with all assumptions on a dedicated inputs sheet. Koller, Goedhart and Wessels (2020) explain that

quarterly modelling – modelling of quarter-on-quarter rather than annual values – is particularly useful for entities that report quarterly and provide quarterly guidance, because it allows for rolling

comparison of forecasts to actual.

2.4 Sector Research Literature

According to CRISIL (2025) and SIAM (2025), the CAFE Phase III norms are pushing the OEMs to invest in EVs as the primary compliance mechanism in the auto sector, with structural implications for ICE-specific auto ancillary suppliers. Energy costs (30-35% of manufacturing cost) and logistics are the major differentiators for profitability in Cement: CRISIL Research

(2025). In retail, both Penman (2013) and Fridson and Alvarez (2011) highlight the importance of

SSSG as the primary metric to distinguish between true productivity gains and revenue growth

resulting from the addition of new stores in retail financial analysis. 3. Methodology The methodology followed at Purnartha is the standard process followed by the IC Research

Team. The intern worked under the guidance of Mr Shubham Harne. This chapter outlines the project- specific approach. 3.1 Project 1 - Brookfield India REIT: Quarterly Financial Model Step 1: Business Understanding: Read the Annual Reports (Fy2021 – Fy2026) from cover to cover, including the MD&A and all footnotes. Studied Investor Presentations and Conference Call Transcripts for the last 8 quarters to get understanding of portfolio and revenue structure and management guidance. Step 2: Historical Data Collection: Quarterly financial data obtained from NSE / BSE filings and investor presentations. Income statement breakdown by Operating Lease Revenue, CAM Revenue, Other Income, Operating Expenses, NOI, EBITDA, Finance Costs, PAT, NDCF and DPU. KPI time series from supplemental operating disclosures (occupancy, leasable area, in-place rent, SNOC, lease expiry). Step 3: Revenue Model: Revenue forecast built from the ground up (leasable area x occupancy x in-place rent) at the campus level, not from a top-line growth rate. Explicit modelling of lease expiry schedule: each expiry cohort analysed for reversion (new rent vs expiring rent) and renewal or exit probability SNOC pipeline leases in the quarter of estimated commencement. Step 4: Full Model and NAV: Excel-based integrated quarterly model comprising revenue build, NOI, EBITDA, PAT, NDCF and DPU. NAV calculated by applying capitalisation rates from SEBI valuation reports to forward NOI. A two-way sensitivity table was set up for capitalisation rate and occupancy scenarios. Step 5: Mentor Review: Review of all outputs and assumptions with Mr Harne. Individual assumptions were questioned and modified. Model updated with the latest quarterly results. Challenges: The reversion assumptions required judgment as to local market rent levels by campus, requiring interpretation of public market research and management commentary. The timing of the acquisition introduced scenario uncertainty. 3.2 Project 2 - REIT Comparative Analysis The Brookfield framework was adapted to the characteristics of each trust and applied to Embassy Office Parks REIT, Mindspace Business Parks REIT, Nexus Select Trust and Knowledge Realty Trust. The Embassy needed a hotel sub-model (ADR and room occupancy rather than lease-based
revenue). In addition to standard occupancy and rent metrics, Nexus required SSSG and footfall
tracking to support the revenue share piece. Knowledge Realty Trust's shorter listed history required more use of valuation reports. Aggregated comparative metrics:

occupancy, NOI margin, WALE, leverage, DPU yield & Price/NAV.

3.3 Project 3 - IndiGrid InvIT: Historical Rebuild and Forecasting

Step 1 - Structure and Accounting: Review annual reports (FY2018 – FY2024) to understand
trust structure, types of SPVs and Ind AS 115 service concession accounting note. The key step
before any data work. Construction revenue skews reported revenue in periods with heavy
construction.

Step 2 - Historical IS Reconstruction: Rebuilt quarterly income statement from FY2018 using annual reports, quarterly results and investor presentations. Construction revenue is disclosed
separately from operating revenue in the notes to the financial statements. We used audited annual figures as a reference to adjust for inconsistencies in format across the years.

Step 3 - SPV-Level NDCF: Compiled historical NDCF data for operating assets in transmission,
solar and BESS buckets from investor presentations and SEBI valuation reports. For some periods,
no direct data at the SPV level were available, and estimation was necessary.

Step 4 - Forecasting Framework: Different forecasting logic for operating assets (contracted TSA tariffs / PPA rates; historical availability) and under-construction assets (zero NDCF pre-
commissioning; conservative commissioning timelines). Framework in development at the end of the internship.

Challenges: Identification of construction revenue as per Ind AS 115 was technically challenging
and needed a careful re-reading of accounting notes. There was a lot of cross-referencing involved to ensure historical data was consistent across seven years of acquisitions.

3.4 Projects 4, 5, and 6 - Sector Research

Auto and Auto Ancillary: The compliance gap for CAFE Phase III is assessed for major OEMs.

Implications of the E85 programme reviewed. To analyse ICE-specific versus EV-relevant product exposure, we reviewed annual reports and investor presentations for listed ancillary companies. Cement: Read annual reports and investor presentations of UltraTech, ACC, Ambuja and Dalmia Bharat for capacity, trend in EBITDA per tonne, energy cost structure and logistics strategy. Industry
capacity map prepared for projected regional demand.
Retail - Vishal Mega Mart: Annual Report looked at the SSSG trend, product category-wise gross
margin, private label penetration, pace of store expansion and store-level economics.

4. Analysis and Discussion 4.1 Project 1 - Brookfield India REIT: Detailed Financial Modelling 4.1.1 Company and Portfolio Overview Brookfield India Real Estate Trust is sponsored by Brookfield Asset Management and owns Grade A commercial office campuses in Mumbai (Powai and BKC), Gurugram, Noida and Kolkata. The portfolio comprises large integrated business parks – not stand-alone buildings – and has a tenant profile largely from the IT, BFSI and professional services sectors. The campus nature means each location has its own leasing dynamics, occupancy position and market rent and therefore needs modelling at the campus level rather than the portfolio level. The central modelling task on the internship was Brookfield. This trust has completed all steps of the financial model from the organisation of historical data to the sensitivity analysis of the NAV. 4.1.2 Revenue Model - Three Components Revenue Line Description Key Model Driver Operating Lease Revenue Core rental income from tenants under long-term leases (5–10 years); contractual escalation clauses typically 5% p.a. or 15% every 3 years Leasable area × occupancy rate × in-place rent per sf per month
CAM Revenue Common Area Maintenance charges recovered from tenants for shared spaces; largely a pass-through; net contribution to NOI is small. Recovery ratio applied to occupied area; modelled separately from lease revenue. Other Income Car park revenue, signage income, utility recovery, and other ancillary property receipts Historical trend: less variable than lease revenue
Table 2: Brookfield India REIT — Revenue Components and Drivers 4.1.3 Key Operating KPIs Modelled KPI Definition Role in the Model Total Leasable Area (msf) Total area available for lease across all campuses Denominator for occupancy; grows with acquisitions and development completions

Occupancy Rate (%) Leased area as % of total leasable area; modelled at campus level
Primary revenue driver — a 1% change in occupancy directly changes rental income proportionally
In-Place Rent
(Rs/sf/month) Weighted average rent
currently being received from tenants Multiplied by the leased area to
compute operating lease revenue
SNOC Pipeline (msf) Signed but not yet commenced leases - tenant
committed but not yet occupying Near-term occupancy uplift; highest-confidence forward
indicator; added in projected commencement quarter
Lease Expiry Schedule Volume (msf) of leases expiring in each future quarter Identifies timing of reversion events; critical for revenue
trajectory
Rental Reversion (%) % change in rent at lease renewal vs expiring rent Applied to each expiry cohort to determine revenue change at
renewal; positive where market
rent exceeds in-place rent
WALE (years) Weighted average unexpired lease term Short WALE means higher near-term expiry risk; long WALE means greater revenue visibility.
DPU (Rs/unit/quarter) Distribution per unit paid to
unitholders each quarter Final output of the NDCF
calculation; cross-checked against management guidance
from call transcripts
Table 3: Key Operating KPIs — Brookfield India REIT Financial Model

4.1.4 Financial Model Structure
Sheet Contents Assumptions All forward-looking inputs: occupancy by campus, reversion %, SNOC timeline, acquisition pipeline, debt cost, capitalisation rates
Historical Data Quarterly financials from listing to most recent quarter: revenue breakdown, NOI, EBITDA, finance costs, PAT, NDCF, DPU; KPI time series
Revenue Build Campus-level quarterly revenue forecast: leasable area × occupancy ×

rent; lease expiry and reversion adjustments explicit for each cohort

Income Statement Linked quarterly P&L from revenue through to PAT and NDCF; DPU computation

Debt Schedule Outstanding debt, interest costs, repayment schedule, and acquisition drawdowns

NAV Valuation Property-level NAV via income capitalisation; sensitivity tables across cap rate and occupancy scenarios

Table 4: Financial Model Structure — Brookfield India REIT

Figure 3: Brookfield Revenue Build-up Framework

4.1.5 Occupancy Forecast Two sources were driving the forecast for occupancy. The short-term, high-confidence component was provided by the SNOC pipeline, revealed quarterly by management. The leased area was increased by signed leases with upcoming commencement dates in the projected commencement quarter. New leasing assumptions were derived from management guidance on the inquiry pipeline, historical leasing velocity by campus, and the demand environment for Grade A office space by city, outside of the SNOC horizon.

Where disclosures from annual reports identified concentration risk of individual tenants, lease exits were modelled. A bear-case scenario was modelled with lower occupancy recovery to stress test the DPU and NAV outputs. 4.1.6 Lease Expiry and Rental Reversion The lease expiry schedule (from quarterly investor presentations) was translated to an expiry map by quarter. For each group of expiring leases, an assumption of reversion was made using the estimated difference between the in-place rent and the current market rent for comparable space. In instances where Brookfield's in-place rents were below current market levels, positive reversion was assumed – the renewal lease would be priced above the expiring rent. The model for each quarter included the sequential revenue effect of each expiry (loss of expiring income, gain of renewed or new lease).

Forecast Assumption Variable Basis Occupancy (per campus) % of leasable area leased by quarter SNOC pipeline + management guidance + local market demand Rental

Reversion % change at lease renewal In-place rent vs market rent gap; management commentary NOI Margin NOI / Revenue (%) Historical trend + occupancy leverage + management cost guidance Finance Cost Interest (Rs Cr/quarter) Debt schedule + acquisition drawdown assumptions Capitalisation Rate Applied to 12-month forward NOI SEBI valuation reports + peer REIT cross-check

Table 5: Forecast Assumptions Framework — Brookfield India REIT

4.1.8 Key Learnings

REITs ' revenue is event-driven (lease expirations, acquisitions, commencements), not growth
rates. This allows for more accurate and more interpretable forecasts, as it explicitly models these
events instead of assuming blanket growth. The single most useful near-term indicator is the
SNOC pipeline: concrete, signed evidence of imminent occupancy improvement that’s more
reliable than any macro assumption. NAV sensitivity to the capitalisation rate is material - a 50 bps
widening can meaningfully reduce NAV per unit - and the importance of communicating this
range to the IC team is as important as a single point estimate.

4.2 Project 2 - Indian REIT Comparative Analysis

The Brookfield modelling framework was tailored and used for the other four listed Indian REITs.

The work was more about understanding the differences between each trust than building individual
models of equal detail.

Parameter Embassy Mindspace Brookfield Nexus Knowledge Realty

Asset Type Office + Hotels Office Office Retail Office/Mix ed

Key Market Bengaluru, Pan-India Hyderabad dominant Mumbai, NCR, Kolkata Pan-India Mumbai

Revenue Specifics Hotels: ADR + room occ.

modelled
separately IT demand sensitivity;
strong Hyd.
mkt Primary model;
deepest
analysis MGR + revenue
share; SSSG
tracked Shorter history;
more
reliance on
val. reports
Model Depth Full model Full model Primary —
deepest Full model Comparativ
e only

Table 6: Indian REIT Comparative Framework — Key Parameters Key observations from the comparison: Nexus Select Trust trades at a premium to NAV, which reflects its scarcity value of being the only listed retail REIT in India and the strong post-pandemic recovery in organised retail. Office REITs are trading at wide NAV discounts due to concerns about hiring in the global IT sector and the adoption of hybrid working. Brookfield's higher Distribution Yield compared to Embassy stems from both the discount on unit prices and the visible occupancy upside in its portfolio, i.e. vacant space that is expected to be leased as the demand environment improves, thus providing a potential re-rating catalyst. 4.3 Project 3 - IndiGrid Infrastructure Trust: Analysis 4.3.1 Company Overview and Trust Structure India’s first power sector InvIT, IndiGrid Infrastructure Trust. The portfolio consists of three asset classes, namely High-voltage power transmission lines and substations (the original and largest component), solar power plants (via acquisitions) and Battery Energy Storage System (BESS) assets. The trust owns these assets through holding companies and individual SPVs, with each SPV owning one project.

Figure 4: IndiGrid Trust and SPV Structure Asset Category Revenue Model Contract Type Key Risk Transmission Lines and Substations Availability-based tariff under TSA — fixed irrespective of power flow volume BOOT / DBFOT Availability shortfall; tariff step-

down Solar Power Plants Per-kWh rate under PPA — tied to actual generation output BOO Generation risk; curtailment

BESS Assets Capacity charge for contracted storage — availability-linked BOO Technology risk; utilisation Table 7: IndiGrid — Asset Categories and Revenue Basis

4.3.2 Historical Income Statement Reconstruction - FY2018 to Present

The first analytical exercise was to construct the quarterly income statement of IndiGrid from FY2018 backwards for seven years using Annual Reports, quarterly results filings on NSE and investor presentations. Two complications made this more difficult than a standard data collection exercise.

Firstly, the consolidated revenue numbers are not comparable on a like-for-like basis without adjustment, as IndiGrid has grown through substantial acquisitions almost every year. Second, and more importantly, during periods of construction intensity, the reported revenue of IndiGrid includes non-cash construction revenue recognised under Ind AS 115 service concession accounting.

4.3.3 Service Concession Accounting - The Revenue Distortion When a transmission SPV constructs an infrastructure asset under a concession from the government, the construction activity is considered a service provided to the granting authority under Ind AS 115. Construction revenue is therefore recognised by the SPV at the fair value of the construction service, even though no cash is received for construction. Equal construction cost is recorded. Small impact on net profit, but the revenue line is bloated during construction-heavy periods. At the same time, the SPV recognises a financial asset, representing its right to receive future tariff payments during the life of the concession. During the operational phase, service revenue is recognised based on actual tariff receipts and the financial asset is amortised.

Practical consequence: reported revenue in periods when IndiGrid was adding multiple new transmission SPVs includes large non-cash items. An analyst who was reading the income statement without this knowledge would misread revenue trends and draw wrong conclusions about profitability. The performance should not be analysed and forecasted at reported revenue or net profit, but at NDCF and the cash flow statement, which is what has been

done in this project.

4.3.4 BOOT, BOO, and DBFOT - Modelling Implications

Feature BOOT BOO DBFOT

Asset at contract end Transferred to the government at zero value Retained by the operator indefinitely Transferred to the government

Terminal value in DCF Zero — full recovery within concession life required Positive — perpetuity value of future NDCF Zero

Ind AS 115 construction revenue Recognised during the build phase Generally not applicable Recognised during the build phase

IndiGrid examples Most transmission lines and substations Solar plants; BESS assets Certain transmission projects

Table 8: BOOT vs BOO vs DBFOT — Key Differences

The most important distinction is the terminal value. If a perpetuity terminal value is used for a

BOOT asset that will be handed over to the government, IndiGrid's NAV will be significantly

overstated. BOOT/DBFOT transmission assets are correctly assigned a zero terminal value in

SEBI valuation reports.

4.3.5 SPV-Level NDCF Data and the NDCF Waterfall

After the trust-level income statement was completed, the next step was to collect historical SPV-

level NDCF data. This was compiled from investor presentations and SEBI valuation reports, where estimations were needed in periods where asset-level data was not directly disclosed. The NDCF waterfall was mapped from SPV-level operational cash flow (after O&M costs and debt service) for the major operating assets to the holding company and up to the trust.

Figure 5: IndiGrid NDCF Waterfall — SPV Level to Trust Level

4.3.6 Forecasting Framework - Operating vs Under-Construction Assets

Dimension Existing Operating Assets Under-Construction Assets

Revenue Contracted TSA tariff or PPA rate — currently earning Zero until the

commissioning date

Key risk Availability shortfall; tariff step-down post-debt recovery period Construction delay; ramp-up slower than projected

O&M costs Historical actuals + management-guided escalation Estimated post-commissioning from comparable asset benchmarks

Debt service Actual SPV amortisation schedules Estimated from known project finance terms post- commissioning NDCF Positive from ongoing operations Zero pre-commissioning; conservative ramp-up assumed post-commissioning

Terminal value Zero (BOOT/DBFOT) or perpetuity (BOO) Same treatment after commissioning

Table 9: NDCF Forecasting Framework — Operating vs Under-Construction Assets

For under-construction assets, we modelled conservative commissioning timelines with completion at the later end of management-guided ranges to reflect construction risk. Under-
construction assets were modelled at zero NDCF until commissioning, then with a ramp-up period
to stabilised performance. Note: This framework was still under development at the end of the
internship and is preliminary analytical work rather than a final, validated model.

4.3.7 Key Analytical Challenges

Of all the projects, the IndiGrid project was the most technically challenging. The Ind AS 115
construction revenue recognition was not obvious and required a close reading of accounting notes
until explained by Mr Harne. “Reconstructing the historical data over seven years of acquisitions,
each with slightly different formats for the disclosures, involved a lot of cross-referencing. The
BOOT/BOO terminal value difference – and its material impact on NAV – required an in-depth
understanding of transmission concession structures in India.

4.4 Project 4 - Auto and Auto Ancillary Research

The auto sector research evaluated the effect of two policy-driven shifts on the listed auto ancillary
companies – CAFE Phase III norms and EV penetration, with an additional dimension around the
E85 ethanol blending programme.

The CAFE Phase III sets substantially more stringent fleet fuel efficiency goals for OEMs than Phase
II. The compliance gap for the major OEMs was defined as the difference between the current fleet
efficiency levels and the Phase III thresholds. OEMs are implementing three complementary
strategies: boosting ICE vehicle efficiency; ramping up EV sales; and joining the E85 programme
(which enhances the effective CAFE calculation because ethanol-blended fuel receives a favourable
energy economy credit). Product Category ICE Relevance EV Relevance Supplier Risk Engine components (pistons, crankshafts, camshafts) High Zero High structural risk as EV share grows Exhaust and after-treatment systems High Zero High structural risk ICE-specific transmission parts High Low Moderate to high risk over the medium term Structural and body components High High Low — common to both platforms Battery management and power electronics Low High Opportunity for early movers Thermal management (battery cooling) Low High Growing opportunity for capable suppliers Table 10: Auto Ancillary — EV Transition Impact Assessment Framework

We also examined the ancillary companies listed for the percentage of revenue from internal combustion engine (ICE) specific products versus electric vehicle (EV) relevant products. Companies with high exposure to ICE-specific content over the five-to-ten-year horizon are flagged as structural risk candidates. Relative beneficiaries of the transition were identified as companies with early investments in EV-relevant products.

4.5 Project 5 - Cement Sector Research

Company Key Competitive Position Key Parameters Analysed

UltraTech Cement Market leader; largest capacity; pan-India distribution network Capacity expansion pipeline; cost efficiency by region; pricing power
ACC Limited Adani Group ownership; strong East India presence; technical heritage Post-acquisition integration; capacity ramp-up; East India volume recovery
Ambuja Cements Premium brand; strong balance sheet; North India focus Cost reduction targets, green cement strategy, and distribution reach Dalmia Bharat East and South India specialist; pioneer in green cement Regional demand trends; capacity utilisation; M&A strategy
Table 11: Cement Sector - Companies and Parameters Analysed

Key findings: The main differentiators for profitability are energy costs (30-35% of manufacturing
cost) and logistics. UltraTech's aggregate announced capacity additions and the Adani Group's
targets for ACC and Ambuja could lead to regional overcapacity in some markets, with implications
on pricing. The Adani Group's acquisition of ACC and Ambuja has materially altered the
competitive landscape with the emergence of a large, well-capitalised new force with aggressive
volume growth ambitions.

4.6 Project 6 - Retail Sector: Vishal Mega Mart

Vishal Mega Mart is a value hypermarket format serving mid-income consumers in Tier II, Tier III
and Tier IV cities. Its product mix is diverse, including apparel, general merchandise and FMCG,
with an emphasis on private label products which have higher gross margins over national brand
equivalents.

In terms of the financials, we examined trends in SSSG (the key metric for productivity of existing
stores, excluding the impact of new store openings), gross margin by category (with

private label
penetration being the key margin driver), and the economics of the store expansion. The growth
thesis is based on the under-penetration of organised retail in smaller cities in India, and Vishal
Mega Mart's value proposition of a wide assortment at competitive prices in a modern format
resonates with first-generation organised retail consumers. The main investment risk is the capital
intensity of the expansion programme, relative to internal cash generation and the time taken for
new stores to ramp up to mature profitability.

5. Limitations and Conclusion

5.1 Limitations

Dependence on public information: All the analysis is based only on publicly available filings and
disclosures – annual reports, quarterly results, investor presentations, conference calls, SEBI filings. No proprietary data, paid platforms or direct management access were used. Conference call management guidance may be optimistic and not fully reflect downside risks.

IndiGrid framework not fully validated: The IndiGrid forecasting framework was being developed at the conclusion of the internship. The historical IS reconstruction and SPV-level NDCF
data are substantive analytical work, but the forecast outputs would need to be refined and back- tested against actual quarterly NDCF outturns before they could be relied upon for investment
decisions.

Time constraints: Depth was limited in some areas due to the time constraints of a ten-week period. The Auto, Cement and Retail analyses were preliminary vs. the REIT and InvIT work. If you go
through a full quarterly results cycle or two for each company and update model

assumptions versus actual results, the quality of forecasts would improve substantially.

Macroeconomic uncertainty: Models include implicit assumptions on interest rates, demand for office space, the pace of EV penetration and the growth in demand for cement that are inherently

uncertain. Capitalisation rates and NAV for REITs are directly affected by interest rate movements. This uncertainty is reduced, but not eliminated, by sensitivity analysis.

Data quality for IndiGrid historical reconstruction: For some periods, estimation was needed to

combine IndiGrid's SPV-level NDCF from multiple sources. The calculated portions involve a

degree of uncertainty that would need to be confirmed by other data sources.

5.2 Conclusion

The main purpose of the internship was to develop financial models and perform investment analysis

for listed REITs and InvITs, which was largely accomplished. Developed a complete quarterly financial model for Brookfield India REIT covering the entire revenue to DPU and NAV valuation

chain. A comparative analytical framework was developed for all the 5 listed Indian REITs. We built a historical income statement for IndiGrid from FY2018 onwards, SPV level NDCF and laid the

foundation for an independent forecasting framework.

The internship provided an opportunity to put concepts learned in MBA finance classes – DCF analysis, NAV valuation, financial statement analysis, ratio analysis and sensitivity analysis – into

practice on real investment research. It also exposed the substantive gap between textbook

application and professional practice: in practice, data is imperfect, assumptions need to be

independently justified, and judgment matters more than any formula. Most notably, the learning was in terms of specialised domain expertise in REITs and InvITs. Financial instruments of REITs and InvITs are not covered in depth in most MBA curricula.

Knowledge of the operational mechanics of REIT revenue modelling, Ind AS 115 service

concession accounting complexity of InvITs, BOOT/BOO/DBFOT valuation implications and the

NDCF waterfall structure have areas of direct applicability to careers in real estate investment banking, infrastructure finance and asset management. The analytical skills and process discipline gained during this internship are likely to have enduring professional value. 6. Contributions and Learnings from SIP 6.1 Financial Modelling The most tangible skill developed was the ability to build integrated quarterly financial models from scratch using public data. The Brookfield India REIT model, from raw data extraction to NAV sensitivity analysis, provided hands-on Excel modelling skills that no classroom exercise could replicate. The discipline of separating assumptions from calculations, labelling all formulas and cross-checking historical outputs against reported actuals before moving into forecasts was explicitly mentored and has permanently changed the approach to quantitative analysis. 6.2 Reading Annual Reports The internship completely changed the reading of annual reports. In multiple instances, the mentor's insistence on reading the whole annual report (including every note) before building any model revealed information that changed the analytical picture. IndiGrid's Ind AS 115 note explained why revenue as reported was not reliable. The revenue forecast for Brookfield was driven by the expiry data within the notes on lease schedules. Analytical questions are a lasting professional skill to bring to reading, rather than reading passively. 6.3 Conference Call Analysis The internship was a chance to hone a new practice of systematically reading conference call transcripts - parsing substantive guidance from boilerplate language, tracking changes in management commentary from quarter to quarter, and extracting specific forward-looking numbers. This provided a much stronger empirical basis to the assumption-building process than simple historical extrapolation. 6.4 Understanding REITs and InvITs The internship gave specialised knowledge in two financial instruments not covered in detail in most MBA programs: REIT occupancy and rental modelling, lease expiry and reversion analysis, NAV valuation through income capitalisation, and InvIT SPV structure, NDCF mechanics, service concession accounting and BOOT/BOO terminal value treatment. These are directly relevant to careers in real estate banking, infrastructure finance and asset management. 6.5 Analytical and Critical Thinking Having to defend every model assumption--why a particular occupancy was projected, what evidence supported a reversion rate, and how

the model performed under stress--greatly sharpened
critical thinking. Producing a number is not enough. Every input should be traceable to a source
and defensible if challenged. Explicit sensitivity analysis – presenting a range of outcomes rather
than a single estimate – is a professional discipline that will be used throughout a career in finance.

6.6 Process Discipline

The IC Research Team's structured research process – read the business before collecting data, collect data before building the model, build the model before forecasting, forecast before valuing
– wasn't always the instinct to start with. The internalisation of this sequence avoided analytical
mistakes and provided higher-quality output. One of the most practically useful things learned
during the internship is the habit of never building a model before reading the annual report.

6.7 Sector Breadth

Worked across REITs, InvITs, Automobiles, Cement and Retail in ten weeks, developing the ability to quickly identify the correct analytical framework for an unfamiliar industry. The key performance metrics are different for sectors (NOI and DPU for REITs; NDCF for InvITs;
EBITDA per tonne for cement; SSSG for retail), and being able to quickly identify the right metrics and right data sources for each sector is a skill that generalises across all equity research
contexts.

6.8 Professional Communication

Presenting and defending research findings to Mr Harne – explaining model logic, the rationale behind assumptions and analytical conclusions under direct questioning – developed professional
communication skills that complement the technical work. The ability to translate the output of

complex models into a short, well-argued investment story is as important as the quality of the
underlying analysis.

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